



AccountIQ

| VALUATION SNAPSHOT                                                      |             |             |             |
|-------------------------------------------------------------------------|-------------|-------------|-------------|
| Output                                                                  | High        | Mid         | Low         |
| Enterprise value                                                        | \$2,831,000 | \$2,314,000 | \$1,898,000 |
| Less: net debt                                                          | \$65,000    | \$65,000    | \$65,000    |
| Indicative equity value                                                 | \$2,766,000 | \$2,249,000 | \$1,833,000 |
| Computed from the same valuation table used in the body of this report. |             |             |             |

DEMO DATA - NOT FOR RELIANCE

# Demo Indicative Valuation Report

AccountIQ Sample Limited

|                |                                                   |             |                                           |
|----------------|---------------------------------------------------|-------------|-------------------------------------------|
| PREPARED FOR   | AccountIQ Sample Limited                          | PREPARED BY | AccountIQ                                 |
| REPORT TYPE    | Demo Indicative Valuation Report                  | REFERENCE   | Report #9001                              |
| VALUATION DATE | 2026-07-04 09:30:00                               | PURPOSE     | Understand what the business may be worth |
| BASIS OF VALUE | Indicative fair-market value, going-concern basis | RELIANCE    | Demo data only - not for reliance.        |

REPORT NAVIGATION

# Contents

|                                                 |    |
|-------------------------------------------------|----|
| Cover and valuation snapshot . . . . .          | 1  |
| Front matter - Basis of preparation . . . . .   | 3  |
| 01 Introduction . . . . .                       | 5  |
| 02 Executive Summary . . . . .                  | 6  |
| 03 Overview . . . . .                           | 7  |
| 04 Market Position . . . . .                    | 8  |
| 05 About Business Valuations . . . . .          | 9  |
| 06 Valuation Methodology Adopted . . . . .      | 10 |
| 07 Financial Performance . . . . .              | 11 |
| 08 Historical Ratio Analysis . . . . .          | 12 |
| 09 Normalisations . . . . .                     | 13 |
| 10 Balance Sheet Summary . . . . .              | 14 |
| 11 Valuation Approach and Assumptions . . . . . | 15 |
| 12 Weighted Average Cost of Capital . . . . .   | 17 |
| 13 Discounted Cash Flow Analysis . . . . .      | 18 |
| 14 Indicative Valuation Summary . . . . .       | 20 |
| 15 Multiples Cross-check . . . . .              | 21 |
| 16 Sensitivity and Specific Risks . . . . .     | 22 |
| 17 Comparable Evidence Appendix . . . . .       | 24 |
| 18 Sources and References . . . . .             | 25 |
| 19 Disclaimer . . . . .                         | 26 |
| 20 General Principles . . . . .                 | 27 |
| 21 Glossary . . . . .                           | 28 |

## BASIS OF PREPARATION

# Basis of preparation

This front-matter explains how AccountIQ prepared the indicative valuation without asking the owner to complete a long expert questionnaire. The report separates uploaded financial information, owner-confirmed private facts, public research and AccountIQ valuation calculations so the reader can see what each conclusion relies on.

| Scope item          | Value                                                                                                                                                                                                             |
|---------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Valuation purpose   | Understand what the business may be worth                                                                                                                                                                         |
| Valuation date      | 2026-07-04 09:30:00                                                                                                                                                                                               |
| Basis of value      | Indicative fair-market value of the operating business on a going-concern basis, before buyer-specific synergies or transaction structure.                                                                        |
| Reliance limitation | First-draft indicative valuation support only; not financial advice and not a substitute for independent professional advice.                                                                                     |
| Information basis   | Prepared from uploaded financial statements, the five owner-confirmed private facts, the earnings-adjustment review, public-source research and AccountIQ valuation calculations available at the valuation date. |
| Scope exclusions    | Does not constitute an audit, assurance engagement, legal advice, tax advice, transaction fairness opinion or buyer-specific synergy assessment.                                                                  |

## Owner answer trail

| Owner answer                                  | How it informs the report                                                                                                                                                                        |
|-----------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Owner answer - Valuation purpose              | Understand what the business may be worth. Frames the report scope, reliance wording and how the valuation conclusion is positioned.                                                             |
| Owner answer - Owner dependency               | Responsibility is shared across the owner and team. Informs transition risk, buyer reliance on the owner and specific-risk commentary.                                                           |
| Owner answer - Largest-customer concentration | 10% to 25%. Informs revenue-retention risk, diligence focus and concentration commentary.                                                                                                        |
| Owner answer - Revenue predictability         | A mix of recurring and one-off revenue. Informs cash-flow reliability, contract-security commentary and forecast support.                                                                        |
| Owner answer - Revenue outlook                | Not sure - growth derived from uploaded financial history. Informs the short-term growth assumption or, when the owner is unsure, the decision to derive growth from uploaded financial history. |

## BASIS OF PREPARATION

## Evidence and model basis

| Input area                         | How it is used in the report                                                                                                                                                                             |
|------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Uploaded financial statements      | Used for historical revenue, profitability, balance sheet items, working capital, candidate normalisations and financial ratio analysis.                                                                 |
| Five owner-confirmed private facts | Used for purpose, owner dependency, customer concentration, revenue predictability and the realistic 12-24 month revenue outlook.                                                                        |
| Earnings-adjustment review         | Used to confirm genuine one-off, owner-specific or non-operating items before they appear in the normalisation schedule; recurring operating costs are intentionally left in the earnings base.          |
| Optional public-source hints       | Used only to match the correct business and guide research. They are not required from the owner and are treated as source hints until corroborated.                                                     |
| Simulated public research          | Used for company and sector context, comparable evidence, RBNZ risk-free-rate context, Damodaran discount-rate inputs and inflation assumptions; URLs are retained in the sources section.               |
| AccountIQ valuation model          | AccountIQ calculates the DCF valuation, discount-rate scenarios, multiples cross-check, enterprise-to-equity bridge, sensitivity matrix and forecast cash-flow schedule before the narrative is written. |
| Questions intentionally not asked  | The owner is not asked to choose the discount rate, terminal growth or forecast horizon in the standard flow; these technical assumptions are derived and disclosed in the report.                       |

## ACCOUNTIQ INDICATIVE VALUATION

# 01 Introduction

## Client and report purpose

This demo indicative valuation has been prepared for AccountIQ Sample Limited to show how AccountIQ can provide the owner with an informed view of the fair market value of 100% of the operating business. The sample purpose is to understand what the business may be worth before any sale, finance or shareholder discussion.

## Valuation date and basis of value

The valuation is expressed as at the prepared date shown on the cover page. Value is considered on a going-concern fair-market basis for the operating business, before buyer-specific synergies, transaction structure, warranties or completion adjustments.

## Sources of information

The report draws on uploaded financial information, owner-confirmed private facts, sample public-source research and AccountIQ valuation calculations. In a live report, public source URLs are retained in the sources section so a reader can inspect the evidence trail behind the valuation assumptions.

## Liability, confidentiality and compliance

This report is indicative only and is prepared for the stated purpose. It is not an independent business valuation report, does not constitute financial advice and should not be relied on as a substitute for independent professional advice. Demo figures and simulated research are included only to demonstrate the AccountIQ report experience.

ACCOUNTIQ INDICATIVE VALUATION

## 02 Executive Summary

The primary discounted cash flow analysis indicates an enterprise value range of \$1.90 million to \$2.83 million after the private-company illiquidity adjustment, with a midpoint of \$2.31 million. The result is most sensitive to maintainable EBITDA, customer retention and the selected cost of capital.

### Valuation conclusion at a glance

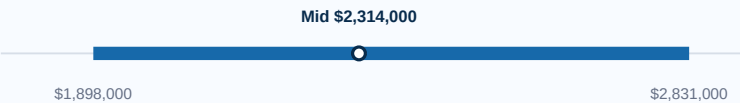
| Conclusion                | Value                     | Reader takeaway                                                               |
|---------------------------|---------------------------|-------------------------------------------------------------------------------|
| Enterprise value range    | \$1,898,000 - \$2,831,000 | Primary DCF valuation range after the private-company illiquidity adjustment. |
| Midpoint enterprise value | \$2,314,000               | Central indication before the net debt and surplus asset bridge.              |
| Midpoint equity value     | \$2,249,000               | Central shareholder-value indication after the enterprise-to-equity bridge.   |
| Net debt adjustment       | \$65,000                  | Bridge item applied consistently across the valuation scenarios.              |

#### Valuation range visual

Low, midpoint and high cases sourced from AccountIQ-computed valuation rows.

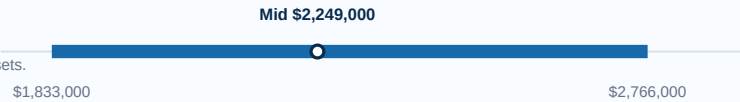
##### Enterprise value

Operating-business value before the net-debt bridge.



##### Indicative equity value

Shareholder-value range after debt, cash and surplus assets.



| Indicative valuation    | High        | Mid         | Low         |
|-------------------------|-------------|-------------|-------------|
| Enterprise value        | \$2,831,000 | \$2,314,000 | \$1,898,000 |
| Less: net debt          | \$65,000    | \$65,000    | \$65,000    |
| Indicative equity value | \$2,766,000 | \$2,249,000 | \$1,833,000 |

ACCOUNTIQ INDICATIVE VALUATION

# 03 Overview

The sample company provides recurring business services to New Zealand SMEs. Public-source research indicates a stable market position supported by repeat customers, while management has confirmed that responsibility is shared across the operating team.

## Business context at a glance

| Interpretation         | Value                                              | Meaning                                                                         |
|------------------------|----------------------------------------------------|---------------------------------------------------------------------------------|
| Owner dependency       | Responsibility is shared across the owner and team | Private owner input used to frame transition and key-person risk.               |
| Customer concentration | 10% to 25%                                         | Private owner input highlighting whether revenue is exposed to large customers. |
| Revenue predictability | A mix of recurring and one-off revenue             | Private owner input distinguishing recurring, mixed and project-based revenue.  |
| Revenue outlook        | Modest growth                                      | Private owner input used to support or derive the short-term growth assumption. |

ACCOUNTIQ INDICATIVE VALUATION

# 04 Market Position

The relevant New Zealand services market remains fragmented. Competitive advantage depends on customer retention, delivery quality and trusted relationships. Public market evidence was cross-checked against the company's private operating context.

### Market context at a glance

| Interpretation          | Value   | Meaning                                                                                  |
|-------------------------|---------|------------------------------------------------------------------------------------------|
| Public sources retained | 4       | Source URLs are retained for market, profile and benchmark context.                      |
| Benchmark evidence      | Covered | Shows whether public evidence supports market or EV/EBITDA context.                      |
| Public profile support  | Covered | Shows whether public sources support company-profile or operating-context statements.    |
| Comparability caveat    | Covered | Signals that public evidence is used for context and cross-checking, not a direct price. |

## ACCOUNTIQ INDICATIVE VALUATION

# 05 About Business Valuations

## What the valuation represents

A business valuation estimates what a willing, informed buyer might pay and a willing, informed seller might accept in an arm's-length transaction at the valuation date. It is not the same as a guaranteed sale price. It assumes a going-concern operating business and focuses on maintainable earnings rather than a one-off result. The final consideration may also reflect buyer synergies, deal structure, warranties, working-capital adjustments and market conditions.

## Enterprise value and equity value

Enterprise value is the value of the operating business before its financing position. Equity value is derived by deducting interest-bearing debt and adding available cash and separately identified surplus assets. This report therefore presents both measures.

## Why a range is used

Private-company value is sensitive to forecasts, customer retention and the return required by a buyer. High, midpoint and low cases communicate that uncertainty more honestly than a single point estimate.

ACCOUNTIQ INDICATIVE VALUATION

# 06 Valuation Methodology Adopted

## Primary method - discounted cash flow

Discounted cash flow is the primary method because it directly reflects the company's maintainable future cash-generating capacity. Expected free cash flows are forecast over five years and discounted to present value using a private-company cost of capital.

## Independent cross-check - market multiples

Researched EV/EBITDA evidence provides an independent reasonableness cross-check. It is not used mechanically because disclosed transactions differ in scale, growth, customer mix, contract security and strategic value.

## Methodology at a glance

| Interpretation           | Value                 | Meaning                                                                               |
|--------------------------|-----------------------|---------------------------------------------------------------------------------------|
| Primary valuation method | Discounted cash flow  | Forecast free cash flows are the primary valuation basis.                             |
| Discount-rate range      | 9.9% - 13.4%          | High, midpoint and low WACC scenarios create the valuation range.                     |
| Market cross-check       | 5.0x - 7.0x EV/EBITDA | Researched market multiples are used as a reasonableness check.                       |
| Equity bridge            | \$2,249,000           | Enterprise value is bridged to shareholder value using debt, cash and surplus assets. |

ACCOUNTIQ INDICATIVE VALUATION

# 07 Financial Performance

Revenue and EBITDA have grown over the observed period, with a moderation in the forecast year reflecting a sustainable rather than aspirational earnings base. FY25 reported EBITDA of \$240,000 is adjusted separately in the normalisation schedule.



| Year ending March    | FY23 Actual | FY24 Actual | FY25 Actual | FY26 Forecast |
|----------------------|-------------|-------------|-------------|---------------|
| Revenue              | \$980,000   | \$1,110,000 | \$1,250,000 | \$1,350,000   |
| Gross profit         | \$588,000   | \$682,600   | \$787,500   | \$850,500     |
| EBITDA               | \$165,000   | \$205,000   | \$240,000   | \$259,000     |
| Net profit after tax | \$105,000   | \$128,000   | \$150,000   | \$163,000     |
| EBITDA margin        | 16.8%       | 18.5%       | 19.2%       | 19.2%         |

## Trading performance at a glance

| Interpretation       | Value                    | Meaning                                                                               |
|----------------------|--------------------------|---------------------------------------------------------------------------------------|
| Revenue bridge       | \$980,000 to \$1,350,000 | Top-line progression across the historical and forecast period shown in the report.   |
| EBITDA bridge        | \$165,000 to \$259,000   | Operating earnings progression before the normalisation schedule is applied.          |
| EBITDA margin bridge | 16.8% to 19.2%           | Shows whether operating leverage is improving, stable or weakening across the period. |
| Latest actual EBITDA | \$240,000                | Latest actual earnings reference point before forecast and valuation adjustments.     |

ACCOUNTIQ INDICATIVE VALUATION

# 08 Historical Ratio Analysis

Historical ratios show improving scale and operating leverage. The forecast deliberately holds EBITDA margin broadly flat rather than assuming that the recent expansion continues indefinitely.

| Ratio             | FY23 Actual   | FY24 Actual | FY25 Actual | FY26 Forecast |
|-------------------|---------------|-------------|-------------|---------------|
| Revenue growth    | Not available | 13.3%       | 12.6%       | 8.0%          |
| Gross margin      | 60.0%         | 61.5%       | 63.0%       | 63.0%         |
| EBITDA margin     | 16.8%         | 18.5%       | 19.2%       | 19.2%         |
| Net profit margin | 10.7%         | 11.5%       | 12.0%       | 12.1%         |

## Margin and growth at a glance

| Interpretation           | Value          | Meaning                                                                         |
|--------------------------|----------------|---------------------------------------------------------------------------------|
| Latest revenue growth    | 8.0%           | Latest growth rate shown in the uploaded-financials trend table.                |
| Gross margin bridge      | 60.0% to 63.0% | Shows whether direct-cost efficiency is improving, stable or weakening.         |
| EBITDA margin bridge     | 16.8% to 19.2% | Summarises operating leverage before valuation adjustments.                     |
| Net profit margin bridge | 10.7% to 12.1% | Shows the after-tax profit conversion trend visible in the uploaded financials. |

ACCOUNTIQ INDICATIVE VALUATION

# 09 Normalisations

Normalisations isolate maintainable operating earnings from owner-specific and one-off expenditure.

| Adjustment                      | Amount    | Rationale                                    |
|---------------------------------|-----------|----------------------------------------------|
| Owner remuneration above market | \$35,000  | Replace with an arm's-length management cost |
| One-off legal costs             | \$12,000  | Non-recurring transaction expenditure        |
| Normalised FY25 EBITDA          | \$287,000 | Reported EBITDA plus confirmed adjustments   |

## Normalisation impact at a glance

| Interpretation        | Value                                      | Meaning                                                                          |
|-----------------------|--------------------------------------------|----------------------------------------------------------------------------------|
| Confirmed adjustments | 2                                          | Owner-reviewed normalisation items included in the maintainable earnings bridge. |
| Net EBITDA adjustment | \$47,000                                   | Net add-back or deduction applied before the valuation earnings base.            |
| Largest adjustment    | Owner remuneration above market - \$35,000 | Largest individual normalisation item for adviser or buyer review.               |
| Normalised EBITDA     | \$287,000                                  | Maintainable earnings base used in the valuation analysis.                       |

ACCOUNTIQ INDICATIVE VALUATION

# 10 Balance Sheet Summary

The enterprise-to-equity bridge deducts interest-bearing debt and adds available cash or separately identified surplus assets.

### Enterprise-to-equity visual

Shows how operating-business value converts to shareholder value using existing balance-sheet inputs.

|                                                                                                                                         |   |                                                                                                        |   |                                                                                                              |   |                                                                                                                                   |
|-----------------------------------------------------------------------------------------------------------------------------------------|---|--------------------------------------------------------------------------------------------------------|---|--------------------------------------------------------------------------------------------------------------|---|-----------------------------------------------------------------------------------------------------------------------------------|
| <b>Midpoint enterprise value</b><br><b>\$2,314,000</b><br><small>Operating-business value before debt, cash and surplus assets.</small> | - | <b>Less net debt</b><br><b>(\$65,000)</b><br><small>Interest-bearing debt less available cash.</small> | + | <b>Surplus assets</b><br><b>\$0</b><br><small>Separately identified non-operating assets added back.</small> | = | <b>Midpoint equity value</b><br><b>\$2,249,000</b><br><small>Indicative shareholder value after the balance-sheet bridge.</small> |
|-----------------------------------------------------------------------------------------------------------------------------------------|---|--------------------------------------------------------------------------------------------------------|---|--------------------------------------------------------------------------------------------------------------|---|-----------------------------------------------------------------------------------------------------------------------------------|

| Balance sheet item        | Value       |
|---------------------------|-------------|
| Cash and bank             | \$95,000    |
| Interest-bearing debt     | \$160,000   |
| Net debt                  | \$65,000    |
| Operating fixed assets    | \$185,000   |
| Surplus assets            | \$0         |
| Midpoint enterprise value | \$2,314,000 |
| Less: net debt            | (\$65,000)  |
| Midpoint equity value     | \$2,249,000 |

### Enterprise-to-equity bridge

| Interpretation            | Value       | Meaning                                                                            |
|---------------------------|-------------|------------------------------------------------------------------------------------|
| Midpoint enterprise value | \$2,314,000 | Operating-business value before the debt, cash and surplus-asset bridge.           |
| Net debt bridge           | (\$65,000)  | Debt exceeds cash by this amount, reducing the value attributable to shareholders. |
| Midpoint equity value     | \$2,249,000 | Central shareholder-value indication after the bridge from enterprise value.       |

## ACCOUNTIQ INDICATIVE VALUATION

# 11 Valuation Approach and Assumptions

## Earnings and forecast period

The model uses normalised FY25 EBITDA of \$287,000 and a five-year explicit forecast period. Revenue and maintainable earnings grow at 8.0% a year, consistent with the owner's modest-growth outlook but below the most recent historical growth rate.

## Long-term and reinvestment assumptions

A 2.5% terminal growth rate is anchored to long-run New Zealand inflation and remains below every WACC scenario. The model applies the 28% New Zealand corporate tax rate. Base depreciation of \$25,000 is assumed to equal maintenance capital expenditure. Operating working capital is modelled at 5.0% of revenue, so growth requires a corresponding incremental cash investment.

## Ownership and customer context

Management has indicated that operational responsibility is shared, no single customer represents more than 20% of revenue, and income is a mix of recurring and project work.

## Assumption basis at a glance

| Interpretation             | Value     | Meaning                                                                      |
|----------------------------|-----------|------------------------------------------------------------------------------|
| Maintainable earnings base | \$287,000 | Normalised EBITDA used as the valuation earnings base.                       |
| Growth assumption          | 8.0%      | Forecast growth assumption disclosed with its owner or data source.          |
| Public research inputs     | 2         | Assumptions supported by public market, inflation or discount-rate evidence. |
| Owner-confirmed inputs     | 5         | Private facts captured through the short valuation questionnaire.            |
| Technical model inputs     | 1         | Model conventions disclosed rather than asked of the owner.                  |

| Assumption / input                         | Value used           | Primary source                                                    | Why it matters                                                               |
|--------------------------------------------|----------------------|-------------------------------------------------------------------|------------------------------------------------------------------------------|
| Normalised EBITDA                          | \$287,000            | Uploaded financial statements plus owner-confirmed normalisations | Sets the maintainable earnings base for DCF and multiples cross-checks.      |
| Explicit forecast period                   | 5 years              | AccountIQ valuation model convention                              | Defines the period over which cash flows are forecast before terminal value. |
| Revenue and earnings growth                | 8.0%                 | Owner outlook: modest growth                                      | Drives the forecast cash-flow build and sensitivity matrix.                  |
| Terminal growth                            | 2.5%                 | Public research: New Zealand inflation input                      | Anchors long-term growth and must remain below the discount rate.            |
| WACC scenarios: high / mid / low valuation | 9.9% / 11.5% / 13.4% | Public research: RBNZ risk-free rate and Damodaran ERP/beta       | Discounts forecast cash flows and creates the valuation range.               |
| Maintenance capital expenditure            | \$25,000             | Uploaded financial statements: depreciation proxy                 | Converts EBITDA into free cash flow by allowing for asset reinvestment.      |

| Assumption / input              | Value used                                         | Primary source                                               | Why it matters                                                                    |
|---------------------------------|----------------------------------------------------|--------------------------------------------------------------|-----------------------------------------------------------------------------------|
| Operating working capital ratio | 5.0%                                               | Uploaded balance sheet: operating working-capital line items | Captures the cash investment required to support revenue growth.                  |
| Debt, cash and surplus assets   | Debt \$160,000; cash \$95,000; surplus assets \$0  | Uploaded balance sheet plus optional owner override          | Bridges enterprise value to indicative equity value.                              |
| Owner dependency                | Responsibility is shared across the owner and team | Owner-confirmed private fact                                 | Informs specific risk commentary and buyer diligence focus.                       |
| Largest-customer concentration  | 10% to 25%                                         | Owner-confirmed private fact                                 | Highlights concentration risk that is not usually visible online.                 |
| Revenue predictability          | A mix of recurring and one-off revenue             | Owner-confirmed private fact                                 | Distinguishes contracted revenue from transactional or project income.            |
| Revenue outlook                 | Modest growth                                      | Owner-confirmed private fact                                 | Documents the short-term outlook used to support or derive the growth assumption. |

ACCOUNTIQ INDICATIVE VALUATION

# 12 Weighted Average Cost of Capital

The cost of capital was developed from current public data and adjusted for the risk and illiquidity of a privately held New Zealand SME. The high valuation uses the lowest WACC; the low valuation uses the highest WACC.

**WACC build visual**

Shows the mid-case discount-rate build from public market inputs before the separate illiquidity discount.

|                                                                                                                                                      |   |                                                                                                                                                             |   |                                                                                                                                                               |
|------------------------------------------------------------------------------------------------------------------------------------------------------|---|-------------------------------------------------------------------------------------------------------------------------------------------------------------|---|---------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <div><b>Risk-free rate</b></div> <div><b>4.4%</b></div> <div>Public market base return before company and sector risk.</div>                         | + | <div><b>Beta-adjusted risk premium</b></div> <div><b>7.1%</b></div> <div>Derived from 1.20 total beta and 5.9% equity risk premium.</div>                   | = | <div><b>Mid WACC</b></div> <div><b>11.5%</b></div> <div>Discount rate applied to the mid-case forecast cash flows.</div>                                      |
| <div><b>Illiquidity discount</b></div> <div><b>11.8%</b></div> <div>Separate private-company marketability adjustment applied after DCF value.</div> |   | <div><b>Source inputs</b></div> <div><b>ERP 5.9% / beta 1.20</b></div> <div>Public research inputs are disclosed instead of being asked of the owner.</div> |   | <div><b>Customer burden</b></div> <div><b>No owner input</b></div> <div>The owner is not asked to choose WACC, beta or equity-risk-premium assumptions.</div> |

| Component            | High valuation | Mid valuation | Low valuation |
|----------------------|----------------|---------------|---------------|
| Risk-free rate       | 4.4%           | 4.4%          | 4.4%          |
| Equity risk premium  | 5.6%           | 5.9%          | 6.2%          |
| Industry total beta  | 1.05           | 1.20          | 1.35          |
| WACC                 | 9.9%           | 11.5%         | 13.4%         |
| Illiquidity discount | 11.8%          | 11.8%         | 11.8%         |

### How the discount rate drives the range

| Interpretation               | Value | Meaning                                                                                               |
|------------------------------|-------|-------------------------------------------------------------------------------------------------------|
| High valuation discount rate | 9.9%  | Lower WACC means forecast cash flows are discounted less heavily, producing the upper valuation case. |
| Mid valuation discount rate  | 11.5% | Base discount-rate case used for the central valuation conclusion.                                    |
| Low valuation discount rate  | 13.4% | Higher WACC reflects more risk and produces the lower valuation case.                                 |
| Illiquidity discount         | 11.8% | Private-company marketability discount shown explicitly rather than hidden in the conclusion.         |

ACCOUNTIQ INDICATIVE VALUATION

# 13 Discounted Cash Flow Analysis

Forecast free cash flows are discounted at the three WACC scenarios. Terminal value uses the Gordon growth model and the 2.5% terminal growth rate remains below every discount-rate scenario. FCFF is EBIT after tax plus depreciation, less maintenance capital expenditure and change in operating working capital. The private-company illiquidity adjustment is shown explicitly rather than embedded in an opaque final multiple.

### DCF value build visual

Shows how the mid-case discounted cash flows and terminal value convert to adjusted enterprise value.

|                                                                                                                       |   |                                                                                                                               |   |                                                                                                                                           |
|-----------------------------------------------------------------------------------------------------------------------|---|-------------------------------------------------------------------------------------------------------------------------------|---|-------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PV explicit FCFF</b><br><b>\$836,951</b><br><small>Present value of the five-year forecast cash flows.</small>     | + | <b>PV terminal value</b><br><b>\$1,787,049</b><br><small>Implied continuing value after the explicit forecast period.</small> | = | <b>EV before illiquidity</b><br><b>\$2,624,000</b><br><small>Mid-case DCF enterprise value before the private-company discount.</small>   |
| <b>EV before illiquidity</b><br><b>\$2,624,000</b><br><small>Starting point for the marketability adjustment.</small> | - | <b>Illiquidity discount</b><br><b>\$310,000</b><br><small>Explicit private-company marketability adjustment.</small>          | = | <b>Adjusted enterprise value</b><br><b>\$2,314,000</b><br><small>Mid-case operating-business value used in the valuation summary.</small> |

| DCF item                            | High valuation | Mid valuation | Low valuation |
|-------------------------------------|----------------|---------------|---------------|
| WACC                                | 9.9%           | 11.5%         | 13.4%         |
| Terminal growth                     | 2.5%           | 2.5%          | 2.5%          |
| Base revenue                        | \$1,250,000    | \$1,250,000   | \$1,250,000   |
| Normalised EBITDA                   | \$287,000      | \$287,000     | \$287,000     |
| Base depreciation                   | \$25,000       | \$25,000      | \$25,000      |
| Maintenance capex                   | \$25,000       | \$25,000      | \$25,000      |
| Operating working capital / revenue | 5.0%           | 5.0%          | 5.0%          |
| Enterprise value before illiquidity | \$3,209,000    | \$2,624,000   | \$2,152,000   |
| Illiquidity discount                | 11.8%          | 11.8%         | 11.8%         |
| Adjusted enterprise value           | \$2,831,000    | \$2,314,000   | \$1,898,000   |

### DCF forecast bridge at a glance

| Interpretation                     | Value                      | Meaning                                                                            |
|------------------------------------|----------------------------|------------------------------------------------------------------------------------|
| Adjusted enterprise value range    | \$1,898,000 - \$2,831,000  | DCF valuation range after the private-company illiquidity adjustment.              |
| Midpoint adjusted enterprise value | \$2,314,000                | Central DCF indication before the enterprise-to-equity bridge.                     |
| Revenue forecast bridge            | \$1,350,000 to \$1,836,660 | Mid-case revenue progression across the explicit five-year forecast period.        |
| Free cash flow bridge              | \$198,731 to \$270,372     | Mid-case free cash flow to firm after tax, capex and working-capital reinvestment. |

**Mid-case forecast cash-flow schedule**

| Mid-case forecast                   | Year 1      | Year 2      | Year 3      | Year 4      | Year 5      |
|-------------------------------------|-------------|-------------|-------------|-------------|-------------|
| Revenue                             | \$1,350,000 | \$1,458,000 | \$1,574,640 | \$1,700,611 | \$1,836,660 |
| EBITDA                              | \$309,960   | \$334,757   | \$361,537   | \$390,460   | \$421,697   |
| EBIT                                | \$282,960   | \$305,597   | \$330,045   | \$356,448   | \$384,964   |
| Tax                                 | \$79,229    | \$85,567    | \$92,412    | \$99,805    | \$107,790   |
| Maintenance capex                   | \$27,000    | \$29,160    | \$31,493    | \$34,012    | \$36,733    |
| Change in operating working capital | \$5,000     | \$5,400     | \$5,832     | \$6,299     | \$6,802     |
| Free cash flow to firm              | \$198,731   | \$214,630   | \$231,800   | \$250,344   | \$270,372   |
| Discounted free cash flow           | \$178,234   | \$172,639   | \$167,220   | \$161,971   | \$156,887   |

ACCOUNTIQ INDICATIVE VALUATION

# 14 Indicative Valuation Summary

The low DCF case overlaps the upper end of the market cross-check, while the midpoint DCF conclusion is higher at \$2.31 million. This difference is driven by the assumed cash-flow growth and should be considered explicitly rather than averaged away. The DCF remains the primary conclusion and the multiple range is an independent check.

| Method / scenario    | Input       | Enterprise value | Adjusted EV | Equity value |
|----------------------|-------------|------------------|-------------|--------------|
| DCF - high valuation | 9.9% WACC   | \$3,209,000      | \$2,831,000 | \$2,766,000  |
| DCF - midpoint       | 11.5% WACC  | \$2,624,000      | \$2,314,000 | \$2,249,000  |
| DCF - low valuation  | 13.4% WACC  | \$2,152,000      | \$1,898,000 | \$1,833,000  |
| Multiples - low      | 5.0x EBITDA | \$1,435,000      | \$1,435,000 | \$1,370,000  |
| Multiples - midpoint | 6.0x EBITDA | \$1,722,000      | \$1,722,000 | \$1,657,000  |
| Multiples - high     | 7.0x EBITDA | \$2,009,000      | \$2,009,000 | \$1,944,000  |

## Valuation range at a glance

| Interpretation           | Value                     | Meaning                                                                                    |
|--------------------------|---------------------------|--------------------------------------------------------------------------------------------|
| Primary DCF range        | \$1,898,000 - \$2,831,000 | Primary enterprise-value range after the private-company illiquidity adjustment.           |
| Midpoint equity value    | \$2,249,000               | Central shareholder-value indication after the net-debt bridge.                            |
| Market cross-check range | \$1,370,000 - \$1,944,000 | Market multiples provide an independent reasonableness check, not the selected conclusion. |
| DCF vs multiple midpoint | \$592,000 above           | Shows where the primary DCF midpoint sits relative to the market cross-check midpoint.     |

ACCOUNTIQ INDICATIVE VALUATION

# 15 Multiples Cross-check

Public benchmark evidence supports an indicative range of 5.0x to 7.0x normalised EBITDA. The DCF midpoint falls close to the 6.0x market cross-check. The range is not a direct pricing promise because observed businesses differ in scale, growth, customer mix, contract security and strategic value.

| Input                      | Low         | Mid         | High        |
|----------------------------|-------------|-------------|-------------|
| EV/EBITDA multiple         | 5.0x        | 6.0x        | 7.0x        |
| Normalised EBITDA          | \$287,000   | \$287,000   | \$287,000   |
| Indicated enterprise value | \$1,435,000 | \$1,722,000 | \$2,009,000 |

## How the market cross-check is used

| Interpretation                 | Value                     | Meaning                                                                            |
|--------------------------------|---------------------------|------------------------------------------------------------------------------------|
| Market multiple range          | 5.0x - 7.0x               | Indicative EV/EBITDA range from researched comparable evidence.                    |
| Maintainable EBITDA applied    | \$287,000                 | Earnings base used consistently across the market cross-check.                     |
| Implied enterprise value range | \$1,435,000 - \$2,009,000 | Reasonableness range used to cross-check, not replace, the primary DCF conclusion. |
| Midpoint market indication     | \$1,722,000               | Central market-multiple indication before the enterprise-to-equity bridge.         |

ACCOUNTIQ INDICATIVE VALUATION

# 16 Sensitivity and Specific Risks

## Quantified sensitivity

The 8.0% growth and 11.5% WACC midpoint is the base case. Across the matrix, adjusted enterprise value ranges from \$1.77 million at 6.0% growth and 13.4% WACC to \$3.05 million at 10.0% growth and 9.9% WACC.

## Business-specific matters

- Customer retention: although no single customer exceeds 20% of revenue, the aggregate retention of repeat customers remains important.
- Revenue quality: mixed recurring and project income provides diversity but less certainty than fully contracted revenue.
- Transition: shared management reduces key-person exposure, subject to confirming retention and handover arrangements.
- Pipeline: unsigned opportunities have not been treated as contracted revenue.

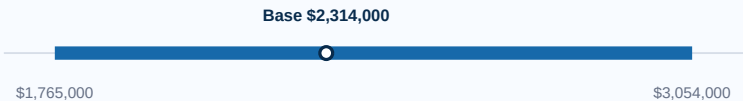
The matrix quantifies WACC and growth only. The business-specific matters remain unquantified and should be revisited if circumstances change before a transaction.

### Sensitivity spread visual

Downside, base and upside adjusted enterprise value from the computed sensitivity matrix.

#### Adjusted enterprise value sensitivity

Across 6.0% to 10.0% growth and WACC cases.



| Growth assumption | High valuation / 9.9% WACC | Mid valuation / 11.5% WACC | Low valuation / 13.4% WACC |
|-------------------|----------------------------|----------------------------|----------------------------|
| 6.0%              | \$2,621,000                | \$2,147,000                | \$1,765,000                |
| 8.0% - base       | \$2,831,000                | \$2,314,000                | \$1,898,000                |
| 10.0%             | \$3,054,000                | \$2,492,000                | \$2,040,000                |

## Sensitivity takeaway at a glance

| Interpretation         | Value                     | Meaning                                                                              |
|------------------------|---------------------------|--------------------------------------------------------------------------------------|
| Base sensitivity case  | \$2,314,000               | Midpoint case using the base growth assumption and mid WACC scenario.                |
| Quantified EV span     | \$1,765,000 - \$3,054,000 | Full adjusted enterprise-value span across the WACC and growth matrix.               |
| Growth cases tested    | 6.0% to 10.0%             | Growth sensitivity range tested without asking the owner for extra valuation inputs. |
| Specific risks covered | 5                         | Qualitative risk factors carried into the report from the short owner intake.        |

## Specific risk factors

| Specific risk factor          | Owner input                                        | Valuation relevance                                                                 | Report treatment                                                                                     |
|-------------------------------|----------------------------------------------------|-------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| Owner dependency / transition | Responsibility is shared across the owner and team | Affects buyer confidence in post-transaction continuity.                            | Moderate transition risk; diligence should confirm responsibilities and handover depth.              |
| Customer concentration        | 10% to 25%                                         | Large customer exposure can increase earnings volatility and diligence risk.        | Moderate concentration risk; review top-customer retention and contract terms.                       |
| Revenue predictability        | A mix of recurring and one-off revenue             | Contracted or recurring revenue usually supports more reliable cash-flow forecasts. | Mixed recurring and project revenue creates moderate earnings visibility.                            |
| Revenue outlook and pipeline  | Modest growth                                      | Growth expectations affect forecast cash flows and sensitivity cases.               | Modest growth supports the base forecast, subject to delivery and customer retention.                |
| Other private context         | A key contract renews next year.                   | Captures risks or opportunities not normally visible in public research.            | Owner-supplied context should be confirmed and reflected in diligence, warranties or forecast cases. |

ACCOUNTIQ INDICATIVE VALUATION

# 17 Comparable Evidence Appendix

The evidence below is illustrative public-market and benchmark context for the sample report. It is broad-sector evidence rather than a set of directly comparable private transactions, so the observed range is used only as a reasonableness check.

| Evidence                             | Date            | Metric / multiple              | Relevance and limitation                                               | Source                                                                                                                                                                                    |
|--------------------------------------|-----------------|--------------------------------|------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Business services sector dataset     | Current dataset | EV/EBITDA benchmark            | Broad listed-company evidence; larger and more liquid than the subject | Damodaran Online - <a href="https://pages.stern.nyu.edu/~adamodar/New_Home_Page/data.html">https://pages.stern.nyu.edu/~adamodar/New_Home_Page/data.html</a>                              |
| NZ private-company valuation context | Valuation date  | Risk-free and inflation inputs | Supports discount-rate inputs, not a transaction multiple              | Reserve Bank of New Zealand - <a href="https://www.rbnz.govt.nz/statistics/series/exchange-and-interest-rates">https://www.rbnz.govt.nz/statistics/series/exchange-and-interest-rates</a> |
| Subject company public profile       | Valuation date  | Operating and market context   | Company-supplied public claims require corroboration                   | NZ Companies Office - <a href="https://companies-register.companiesoffice.govt.nz/">https://companies-register.companiesoffice.govt.nz/</a>                                               |

## Comparable evidence at a glance

| Interpretation          | Value   | Meaning                                                                                  |
|-------------------------|---------|------------------------------------------------------------------------------------------|
| Evidence rows           | 3       | Public benchmark and context rows retained in the comparable evidence appendix.          |
| Source URLs retained    | 3       | Every evidence row should retain a URL so the reader can check the source trail.         |
| Market multiple support | Covered | Shows whether researched evidence supports the EV/EBITDA cross-check range.              |
| Comparability caveat    | Covered | Makes clear the evidence is a reasonableness check, not a perfect private-company match. |

ACCOUNTIQ INDICATIVE VALUATION

# 18 Sources and References

The following public sources support the sample report's market, WACC, inflation and public-profile context. In a live report, each source is retained so the reader can review the evidence trail behind the valuation assumptions.

| Source                                      | URL                                                                                                                                                             | Supports / used for                                            |
|---------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------|
| Reserve Bank of New Zealand, interest rates | <a href="https://www.rbnz.govt.nz/statistics/series/exchange-and-interest-rates">https://www.rbnz.govt.nz/statistics/series/exchange-and-interest-rates</a>     | Risk-free-rate and discount-rate context                       |
| Reserve Bank of New Zealand, inflation      | <a href="https://www.rbnz.govt.nz/monetary-policy/about-monetary-policy/inflation">https://www.rbnz.govt.nz/monetary-policy/about-monetary-policy/inflation</a> | Long-term inflation and terminal-growth context                |
| Damodaran Online, data resources            | <a href="https://pages.stern.nyu.edu/~adamodar/New_Home_Page/data.html">https://pages.stern.nyu.edu/~adamodar/New_Home_Page/data.html</a>                       | Equity risk premium, beta and private-company valuation inputs |
| NZ Companies Office                         | <a href="https://companies-register.companiesoffice.govt.nz/">https://companies-register.companiesoffice.govt.nz/</a>                                           | Company public-profile corroboration                           |

## Source trail at a glance

| Interpretation           | Value   | Meaning                                                                                        |
|--------------------------|---------|------------------------------------------------------------------------------------------------|
| Public URLs retained     | 4       | Source links are retained so a reader can inspect the public evidence trail.                   |
| Discount-rate support    | Covered | Shows whether public sources support WACC, risk-free-rate, equity-risk-premium or beta inputs. |
| Terminal-growth support  | Covered | Shows whether public sources support inflation or long-term growth assumptions.                |
| Business context support | Covered | Shows whether public sources support company-profile or market-context statements.             |

ACCOUNTIQ INDICATIVE VALUATION

# 19 Disclaimer

### Indicative purpose and reliance

This report is indicative only and has been prepared solely for the stated valuation purpose. It does not constitute financial advice and should not be relied upon as a substitute for independent professional, legal, tax or accounting advice. No responsibility is accepted to any third party who obtains or relies on this report.

### Information and valuation date

The analysis relies on information supplied by the owner, extracted financial records and identified public sources. Those inputs have not been independently audited. Conclusions may change if information is incomplete, inaccurate or circumstances change after the valuation date.

### Regulatory context

The report is prepared with regard to the Financial Markets Conduct Act (FMCA) context but is not a regulated product-disclosure statement, fairness opinion or assurance engagement.

### Reliance at a glance

| Interpretation       | Value                      | Meaning                                                                                        |
|----------------------|----------------------------|------------------------------------------------------------------------------------------------|
| Intended use         | Stated purpose only        | Reliance is limited to the valuation purpose stated in the report.                             |
| Advice status        | Not advice                 | The report is not a substitute for independent professional advice.                            |
| Information reliance | Owner and public inputs    | Conclusions depend on owner-supplied information, extracted financials and identified sources. |
| Verification status  | Not audited                | The scope is an indicative valuation pack, not an audit or assurance engagement.               |
| Third-party reliance | No responsibility accepted | Third parties should not rely on the report without their own advice and diligence.            |

## ACCOUNTIQ INDICATIVE VALUATION

# 20 General Principles

**Basis of value**

- A willing but not anxious buyer and a willing but not anxious seller.
- An arm's-length transaction after proper marketing.
- Both parties act knowledgeably, prudently and without compulsion.
- The business continues as a going concern with assets used in their current operations.

**Timing and information**

- Value is assessed at the stated valuation date and may change as markets, trading or capital costs change.
- Forecasts are estimates, not guarantees, and depend on stated assumptions.
- Buyer-specific synergies and unusual strategic premiums are excluded unless explicitly stated.

## ACCOUNTIQ INDICATIVE VALUATION

# 21 Glossary

## Core valuation terms

- DCF: Discounted cash flow, a method that converts forecast future cash flows to present value.
- Enterprise value: Value of the operating business before debt and available cash.
- Equity value: Enterprise value less debt, plus available cash and identified surplus assets.
- EBITDA: Earnings before interest, tax, depreciation and amortisation.
- Maintainable earnings: Earnings adjusted to reflect sustainable, arm's-length operations.
- Normalisation: An adjustment for owner-specific, non-recurring or non-operating items.
- Terminal value: Value attributed to cash flows beyond the explicit forecast period.
- WACC: Weighted average cost of capital used to discount future cash flows.
- Illiquidity discount: Adjustment reflecting the limited marketability of a private-company interest.
- FMCA: New Zealand's Financial Markets Conduct Act 2013.